TOPIC 1 · THE GLOBAL ECONOMY

Bloomberg via gCaptain · Splash247
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The US moves to keep its port-fee truce with China going until January

> The US Trade Representative has proposed a two-month extension to the pause on the charges the US and China placed on each other's ships. The pause was due to end in early November and would now run to **9 January**. The fees had pushed up freight costs and forced shipping lines to reorganise their global routes.

WHAT HAPPENED

- Washington and Beijing each imposed **port charges** on the other's ships. The fees cost Chinese- and US-linked shipping companies millions of dollars.
- Beijing retaliated by **sanctioning the US units** of the South Korean shipbuilder Hanwha.
- The extension was proposed in a USTR notice issued on Monday 26 October. **It is not yet final.**
- It follows a wider **US–China trade truce** announced in September 2026, around the time Xi Jinping made his first visit to the US in 11 years.
- USTR says it is still working with China towards **eliminating the practices** it is investigating.

Non-tariff barrier: a restriction on trade other than a tariff, such as fees, quotas or regulations.
Retaliation: one country answering another's protection with its own.

KEY NUMBERS

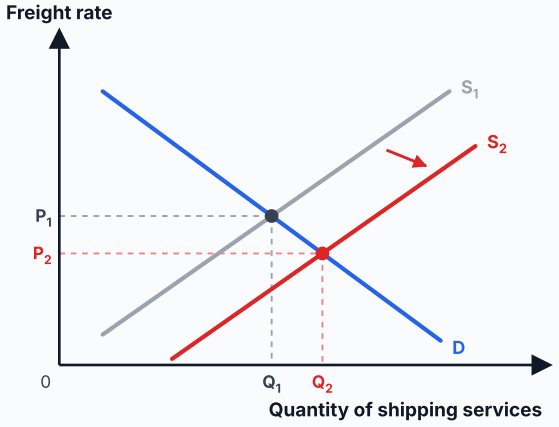
2 months
proposed length of the extension

9 Jan
new end date for the truce

Sept 2026
when the wider US–China trade truce was announced

11 years
since Xi's previous visit to the US

DIAGRAM — Removing a fee on shipping lowers freight rates



A port fee raises the cost of supplying shipping services, much like a tax. Suspending it moves supply of shipping services from **S_1 to S_2**.

Freight rates fall from **P_1 to P_2** and the quantity of shipping rises from **Q_1 to Q_2**. Because freight is part of the cost of every traded good, cheaper shipping lowers import prices and supports trade volumes.

Exam angle: port fees work like a tariff on **transport**, not on the goods themselves. They raise the cost of trade for everyone using affected ships, including countries outside the dispute such as Australia.

FLOW CHART — How the truce feeds through to world trade

Port fees suspended until 9 Jan → Shipping costs fall → Freight rates ease → Lower landed cost of imports → **More trade, less disruption**

SYLLABUS LINK

Topic 1 – Protectionism: **non-tariff barriers**, trade disputes and retaliation, and their effects on global trade flows.

TRY THIS

Explain how port fees on foreign ships act as a form of protection. Outline the likely effects of suspending them on global trade. **(4 marks)**

gCaptain (Bloomberg): https://gcaptain.com/us-plans-two-month-extension-to-shipping-fee-truce-with-china/
Splash247: https://splash247.com/us-moves-to-extend-china-ship-fee-truce-into-2027/

Diagrams are illustrative, not to scale